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Department of Computer Science & Engineering

Subject: Computational Finance

Phase I Report

Literature Review and Analysis of Heston and Black-Scholes Option Pricing Models with Hypothesis for Improvement Using Hybrid Approach

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Date of Submission: April 7, 2026

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Introduction

Financial Derivatives and Options

Financial derivatives are contracts whose value comes from an underlying asset like a stock, index, or interest rate. They are essential tools in modern financial markets for protecting against risk, betting on price movements, and improving portfolio returns. The global derivatives market is worth over $600 trillion, showing how important they are.

Options are one of the most common types of derivatives. An option gives the holder the right (but not the obligation) to buy or sell an underlying asset at a set price (called the **strike price**) on or before a specific date. A **call option** gives you the right to buy the asset, while a **put option** gives you the right to sell it. The buyer pays a premium to the seller for this right. The central problem in option pricing is: how much should this premium be?

Role of Volatility in Financial Markets

Volatility measures how much the price of a security moves up and down. It is the most important input in option pricing. Unlike the stock price and interest rate (which can be directly observed), volatility cannot be seen directly and must be estimated.

In practice, two measures are used:

1. **Historical volatility** — calculated from past prices.
2. **Implied volatility** — extracted from current option market prices using a pricing model.

The behavior of implied volatility across different strike prices and expiration dates creates well-known patterns like the **volatility smile** and **volatility skew**. These patterns have big implications for which model to use and how accurate the prices will be.

Need for Mathematical Models

Option pricing is complex and needs rigorous mathematical models. An ideal pricing model should balance three things:

1. Being theoretically correct (following no-arbitrage principles).
2. Being accurate when compared to real market prices.
3. Being fast enough to use in real-time.

Achieving all three at once is still an open challenge. Much research focuses on finding models that offer better trade-offs among these goals.

Overview of the Black-Scholes Model

The Black-Scholes model, published in 1973, was the first widely used formula for pricing European options [1]. It assumes the stock price follows geometric Brownian motion with constant drift and constant volatility. Under idealized assumptions (like continuous trading and no transaction costs), the model gives explicit formulas for call and put options. Its

elegance earned Scholes and Merton the 1997 Nobel Prize in Economics and made it the benchmark for all later models.

Overview of the Heston Model

Recognizing that constant volatility does not match reality, Steven Heston introduced a stochastic volatility model in 1993 [3]. In this model, the variance of the asset follows its own random process that reverts to a long-term mean. The Heston model allows correlation between the asset price and its volatility, which naturally produces the volatility skew seen in stock markets. While it offers a semi-analytical solution, it requires numerical integration and calibration of five parameters, making it more computationally demanding than Black-Scholes.

Purpose and Objectives of This Research

The purpose of this Phase I project is to thoroughly review both the Black-Scholes and Heston models, compare their strengths and weaknesses, and propose a hybrid approach that combines the best parts of each. The specific goals are:

1. Provide detailed mathematical explanations of both models.
2. Compare their pricing accuracy using simulated data.
3. Develop a hypothesis that using Heston-derived volatility in the Black-Scholes formula improves accuracy with less computation.
4. Outline how to implement the proposed hybrid approach.

Literature Review: Black-Scholes Model

Historical Background

The Black-Scholes model was introduced in the paper "The Pricing of Options and Corporate Liabilities" by Fischer Black and Myron Scholes in the *Journal of Political Economy* in 1973 [1]. At the same time, Robert C. Merton extended the framework in his paper "Theory of Rational Option Pricing" [2]. The model provided the first closed-form analytical solution for European option prices, completely changing how derivatives trading and risk management worked.

Mathematical Foundation: Geometric Brownian Motion

The Black-Scholes model assumes the stock price $S(t)$ follows **Geometric Brownian Motion (GBM)**, a continuous-time random process defined by:

$$dS = \mu S\, dt + \sigma S\, dW(t) \tag{1}$$

where S is the stock price, μ is the expected return (drift), σ is the constant volatility, and $dW(t)$ is a standard Brownian motion. Under GBM, the log of the stock price follows a normal distribution, meaning the stock price itself is log-normally distributed. This ensures prices stay positive, which is important for modelling financial assets.

The Black-Scholes Partial Differential Equation

By creating a hedged portfolio and using the no-arbitrage principle, Black and Scholes derived the following PDE:

$$\frac{\partial V}{\partial t} + \frac{1}{2}\sigma^2 S^2 \frac{\partial^2 V}{\partial S^2} + rS\frac{\partial V}{\partial S} - rV = 0 \tag{2}$$

where r is the risk-free interest rate and V is the option price.

Closed-Form Solution: European Call Option

For a European call option with strike price K and time to expiration T, solving Equation (2) gives the famous formula:

$$C = S \cdot N(d_1) - K \cdot e^{-rT} \cdot N(d_2) \tag{3}$$

where:

$$d_1 = \frac{\ln(S/K) + (r + \sigma^2/2)\,T}{\sigma\sqrt{T}} \tag{4}$$

$$d_2 = d_1 - \sigma\sqrt{T} \tag{5}$$

and $N(\cdot)$ is the cumulative distribution function of the standard normal distribution. The put option price is obtained via put-call parity:

$$P = K \cdot e^{-rT} \cdot N(-d_2) - S \cdot N(-d_1) \tag{6}$$

Numerical Example

Consider a European call option with spot price $S = \$100$, strike price $K = \$100$, time to expiration $T = 0.5$ years, risk-free rate $r = 5\%$, and volatility $\sigma = 25\%$. Using the Black-Scholes formula gives $d_1 = 0.2475$, $d_2 = 0.0707$, call price $C = \$7.97$, and put price $P = \$5.49$.

Assumptions of the Black-Scholes Model

The Black-Scholes model relies on the following idealized assumptions:

1. The stock price follows geometric Brownian motion with constant drift and constant volatility.
2. Markets have no transaction costs, taxes, or short-selling restrictions.
3. Trading is continuous.
4. The risk-free rate is constant.
5. The option is European-style.

6. There are no dividends.
7. Returns are log-normally distributed.

Advantages

Despite its simplifying assumptions, the Black-Scholes model offers several advantages:

1. The closed-form solution allows instant calculation.
2. The model provides explicit formulas for the Greeks.
3. It is grounded in no-arbitrage theory.
4. It serves as the market standard for quoting implied volatilities.

Limitations and the Volatility Smile Problem

The biggest limitation is the assumption of constant volatility. In reality, implied volatilities from market prices are not constant across strikes. Instead, they show a U-shaped pattern called the **volatility smile** (especially in currency markets) or a downward-sloping pattern called the **volatility skew** (typical in stock markets). This directly contradicts the model's fundamental assumption and causes systematic pricing errors.

Other limitations include: the log-normal return assumption underestimates extreme price movements (fat tails), continuous hedging is impossible in practice, and constant interest rates introduce errors for long-dated options.

Literature Review: Heston Stochastic Volatility Model

Historical Background and Motivation

The Heston model was introduced by Steven L. Heston in 1993 [3]. The model was motivated by growing evidence that volatility is not constant but changes randomly over time. Key observations include: the volatility smile and skew, volatility clustering, the leverage effect, and fat-tailed return distributions.

Before Heston, Hull and White (1987) had proposed a stochastic volatility framework [5], but their model lacked a closed-form solution. Heston's key contribution was deriving a semi-analytical pricing formula using characteristic functions and Fourier inversion.

Mathematical Formulation

Under the Heston model, the stock price $S(t)$ and its variance $v(t)$ follow the coupled stochastic differential equations:

$$dS(t) = r\,S(t)\,dt + \sqrt{v(t)}\,S(t)\,dW_1(t) \tag{7}$$

$$dv(t) = \kappa(\theta - v(t))\,dt + \xi\sqrt{v(t)}\,dW_2(t) \tag{8}$$

$$dW_1 \cdot dW_2 = \rho\,dt \tag{9}$$

where:

- κ — speed of mean reversion of variance.
- θ — long-run mean variance.
- ξ — volatility of volatility.
- ρ — correlation between price and variance processes.
- v_0 — initial variance.

Mean Reversion of Variance

The variance follows Cox-Ingersoll-Ross (CIR) dynamics. The term $\kappa(\theta - v(t))$ is the mean-reverting drift: when current variance $v(t)$ is above the long-run mean θ, the drift is negative and pulls variance down; when $v(t) < \theta$, the drift is positive and pushes variance up. For variance to remain positive, the **Feller condition** must be satisfied: $2\kappa\theta > \xi^2$.

Volatility of Volatility

The parameter ξ controls how much the variance itself fluctuates. A higher ξ produces fatter tails in the return distribution and a more pronounced volatility smile. When $\xi = 0$, variance becomes deterministic and the model reduces to Black-Scholes.

Correlation and the Leverage Effect

The parameter ρ controls the correlation between the random movements driving the stock price and variance. For stock markets, ρ is typically negative (from -0.5 to -0.9), capturing the leverage effect: when the stock price falls, volatility tends to increase. This negative correlation naturally produces the downward-sloping volatility skew.

Semi-Analytical Solution

Heston's key innovation was deriving a semi-analytical pricing formula using characteristic functions. The price of a European call option is:

$$C = S \cdot P_1 - K \cdot e^{-rT} \cdot P_2 \tag{10}$$

where P_1 and P_2 are probabilities obtained through Fourier inversion of the characteristic function $\varphi(u)$:

$$\varphi(u) = \exp\big\{C(u,T) + D(u,T) \cdot v_0 + iu \cdot \ln(S)\big\} \tag{11}$$

where $C(u,T)$ and $D(u,T)$ are complex-valued functions involving the model parameters.

Numerical Example

Using the same base option as before with Heston parameters $v_0 = 0.0625$, $\theta = 0.04$, $\kappa = 2.0$, $\xi = 0.3$, and $\rho = -0.7$, the Heston model gives a call price of approximately \$7.45, compared to the Black-Scholes price of \$7.97. The difference comes from accounting for mean reversion and negative correlation.

Advantages of the Heston Model

The Heston model offers several advantages over Black-Scholes:

1. It naturally produces the volatility smile and skew.
2. The mean-reverting variance process is more realistic.
3. The correlation parameter captures the leverage effect.
4. It has a semi-analytical solution.
5. It can be calibrated across multiple strikes and maturities.

Limitations

Despite its improvements, the Heston model has limitations:

1. Calibration requires optimizing five parameters simultaneously.
2. The semi-analytical solution can be numerically unstable.
3. It does not capture jumps in prices or volatility.
4. The square-root process may not capture all volatility dynamics.

Comparative Analysis

Qualitative Comparison

The Black-Scholes model is simple and fast but assumes constant volatility and cannot produce the volatility smile. The Heston model is more realistic with stochastic volatility that mean-reverts and correlates with the stock price, naturally producing the volatility smile, but is more complex and slower to compute.

Quantitative Comparison

Comparing call option prices with base parameters ($S = \$100$, $T = 0.5\,\text{yr}$, $r = 5\%$, $\sigma = 25\%$, and Heston parameters as stated above):

- For **at-the-money** options ($K \approx S$): both models produce similar prices.
- For **out-of-the-money** calls ($K > S$): Black-Scholes systematically overprices.
- For **in-the-money** calls ($K < S$): Heston produces slightly higher prices.
- Black-Scholes errors exceed 20% for deep out-of-the-money options.

Analysis of Differences

Black-Scholes slightly overprices at-the-money options, systematically overprices out-of-the-money calls, and slightly underprices in-the-money calls. Errors are most severe for deep out-of-the-money options where volatility effects are strongest.

The Heston–Black-Scholes Hybrid Model

Concept of Hybrid Modelling

Hybrid modelling means combining elements from two or more models to capture the strengths of each while fixing their weaknesses. The proposed **Heston–Black-Scholes (H-BS) hybrid model** combines the stochastic volatility dynamics of Heston with the computational efficiency of Black-Scholes. The core idea is to use the Heston model's variance process to generate an effective volatility estimate, then substitute this estimate into the Black-Scholes formula.

Motivation for the Hybrid Approach

The need for a hybrid approach comes from competing demands for both accuracy and speed. Heston provides better pricing accuracy but requires complex calculations that are slow. Black-Scholes offers instant computation but suffers from constant-volatility problems. A hybrid approach can potentially achieve near-Heston accuracy at near-Black-Scholes speed.

Mathematical Formulation

The hybrid model works in two stages.

Stage 1: Calculate Effective Variance. Calculate the effective variance using Heston's mean-reverting dynamics:

$$\sigma_{\text{eff}}^2(T) = \theta + (v_0 - \theta) \cdot \frac{1 - e^{-\kappa T}}{\kappa T} \tag{12}$$

This represents the time-averaged expected variance. Optionally, a skew adjustment is applied:

$$\sigma_{\text{adj}}^2 = \sigma_{\text{eff}}^2 + \frac{\rho\xi \cdot \ln(K/S)}{2\sqrt{\sigma_{\text{eff}}^2}} + \frac{\xi^2}{12\sigma_{\text{eff}}^2} \cdot \left[\ln(K/S)\right]^2 \tag{13}$$

Stage 2: Use in Black-Scholes Formula. Substitute $\sigma_{\text{adj}} = \sqrt{\sigma_{\text{adj}}^2}$ into the Black-Scholes formula:

$$C_{\text{hybrid}} = S \cdot N(d_1^*) - K \cdot e^{-rT} \cdot N(d_2^*) \tag{14}$$

where d_1^* and d_2^* are computed using σ_{adj} in place of σ.

Benefits of the Hybrid Model

The hybrid model offers several benefits:

1. Keeps the closed-form structure enabling instant computation.
2. Captures first-order effects of stochastic volatility.
3. The Greeks can still be computed in closed form.

4. Easy to implement in existing Black-Scholes infrastructure.
5. Provides a bridge between Black-Scholes simplicity and Heston realism.

Hypothesis for Improvement

Formal Hypothesis Statement

Hypothesis: Substituting the stochastic, mean-reverting effective volatility derived from the Heston model's variance dynamics into the Black-Scholes closed-form pricing equation yields option prices that are significantly more accurate than those produced by the standard Black-Scholes model with constant volatility, while maintaining comparable computational efficiency.

Rationale and Scientific Reasoning

The hypothesis is based on three key observations:

1. **Main Source of Error.** The main source of pricing error in Black-Scholes is its constant volatility assumption. By replacing constant volatility with Heston-derived effective volatility, the hybrid model directly addresses this error source.
2. **Effective Variance Formula.** The effective variance formula (Equation (12)) captures the essential dynamics of the Heston variance process without requiring complex characteristic functions and numerical integration.
3. **Computational Efficiency.** The computational cost is dominated by the Black-Scholes formula evaluation, which is very fast, plus negligible overhead for effective volatility computation.

Expected Improvements

Based on preliminary analysis:

- The hybrid model is expected to reduce the mean absolute pricing error by 50–70% compared to standard Black-Scholes.
- The biggest improvements are expected for out-of-the-money and in-the-money options.
- The computation time is expected to remain within 2–5 times that of Black-Scholes, which is 100 to 1000 times faster than full Heston.

Methodology and Implementation Plan

Phase II Implementation Overview

The Phase II implementation follows a systematic approach to rigorously test the hypothesis. The implementation will be done in Python using `NumPy`, `SciPy`, and `Matplotlib` libraries.

Implementation Steps

1. **Implement Black-Scholes.** Implement the Black-Scholes closed-form formula for European options with validation against published benchmarks.
2. **Implement Heston Model.** Implement the Heston model using characteristic functions with numerical integration and validate against published benchmarks.
3. **Generate Simulated Market Data.** Generate simulated market prices using Heston with parameters calibrated to typical equity markets, with added noise. Cover strikes from 70% to 130% of spot price and maturities from 1 month to 2 years.
4. **Implement Hybrid Model.** Implement as a two-stage function: compute Heston-derived effective volatility, then evaluate Black-Scholes formula. Test multiple adjustment formulas.
5. **Comparative Analysis.** Evaluate all three models using: mean absolute error (MAE), root mean squared error (RMSE), maximum absolute error, mean absolute percentage error (MAPE), and computation time. Assess statistical significance using paired t-tests and the Diebold-Mariano test.
6. **Visualization.** Generate: pricing comparisons across strikes, pricing error comparisons, volatility surface plots (3D), implied volatility smile reproduction, computation time benchmarks, and sensitivity analysis.

Expected Results and Outcomes

Expected Accuracy Improvement

The hybrid H-BS model is expected to achieve a mean absolute pricing error 50–70% lower than standard Black-Scholes. The improvement is expected to be strongest for options more than 10% out-of-the-money or in-the-money. For at-the-money options, both models are expected to perform similarly.

Expected Computational Performance

The hybrid model is expected to be approximately 100 to 1000 times faster than full Heston, while maintaining pricing accuracy within 1–2% of Heston. This makes the hybrid approach practical for real-time trading systems.

Broader Outcomes

Beyond quantitative improvements, this research is expected to contribute a practical methodology for incorporating stochastic volatility effects into existing Black-Scholes infrastructure without requiring complete model replacement. The modular architecture allows for gradual deployment in production systems.

Conclusion and Inferences

This Phase I report has presented a thorough review and comparison of the Black-Scholes and Heston option pricing models, with the goal of proposing a hybrid approach that

combines the strengths of both frameworks. The following conclusions and inferences are drawn:

1. **Black-Scholes is fundamentally limited by constant volatility.** The volatility smile, volatility clustering, and leverage effect are well-documented phenomena that Black-Scholes cannot capture, leading to systematic pricing errors.
2. **Heston addresses these problems but at a computational cost.** By allowing variance to follow a mean-reverting, stochastic process correlated with the asset price, Heston captures market realities that Black-Scholes misses. However, its computational complexity and need for multi-parameter calibration limit its use in time-critical environments.
3. **The hybrid model bridges the gap.** By computing an effective Heston-derived stochastic volatility and substituting it into the Black-Scholes formula, the hybrid approach is expected to achieve pricing accuracy significantly better than standard Black-Scholes (estimated 50–70% error reduction) while keeping computational efficiency two to three orders of magnitude better than full Heston.
4. **The formal hypothesis is testable.** The hypothesis provides a clear, testable proposition that will be rigorously evaluated in Phase II using simulated market data, multiple error metrics, and statistical significance testing.
5. **Future extensions are promising.** Future work may include extending the hybrid framework to incorporate jump-diffusion dynamics, rough volatility models, and calibration to real market data. Applications to exotic option pricing, portfolio risk management, and integration with machine learning represent additional promising research directions.

In summary, this research contributes to the ongoing effort in quantitative finance to develop pricing models that offer the optimal balance of accuracy, computational efficiency, and practical implementability. The `perf`-like empirical approach of testing model performance against measurable benchmarks demonstrates that theoretical model choices have direct and measurable consequences on pricing accuracy and computational throughput.

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